

OFF LEDGER FUND TRANSACTION PROTOCOL

**OFF LEDGER FUNDS CLEARANCE PROTOCOL
WITH
UN TRUSTEE GROUP
FOR
QUALIFIED SENDER WITH L2L, IPIP AND GPI
TRANSACTION PROCEDURE
JAN 2021**

INTRODUCTION & PRE-CONTRACT PREPARATION:

- 1) This Program is specifically for Qualified Fund Owner or Proxy Sender with Off-Ledger Fund. As this a G2G backed transaction, the Qualified Cleared Funds Receiver need to be registered with ECB and other related world organization to ensure the Cleared Funds will be disbursed on good hands for projects implementation to benefits the mankind, hence **our UN Trustee Platform only deals directly with Account Signatory, no POA Asignee or Proxy.**
- 2) In general, if the Off-Ledger Funds is deposited in top European or US Banks, there is a good possibility to conduct a simple transaction clearance with a Ledger-to-Ledger (L2L) protocol within the same bank; if L2L is not possible for the fund depository bank, standard GPI protocol will be preferred than IPIP. Sender is advised to check with his Banker to obtain the support and the flexibility to cooperate with the simplest possible transaction protocol for fast clearance. Our Platform will do the best to assist and match the Sender's request, either with L2L, GPI or IPIP protocol, in accordance to priority.
- 3) **Please do not submit previous unrelated contract with other Receiver or set your own terms with your own contract format.** The Off-Ledger clearance requires approval from World organization; reasonable terms will be set by them in accordance to their clearing rules and contract format. All we need is a proper KYV for Compliance clearance, your cooperation is appreciated.

A) LEDGER-TO-LEDGER TRANSACTION PROCEDURE

- 1). The UN Trustee has the capacity to handle funds up to Quadrillion, but every tranche transfer to be cleared has a maximum limit of 500 Billion, depending on the assigned Receiving Account. For easy initial funds clearance, minimum amount of 1st tranche must not be less than 1 Billion, the range could varies between USD/EUR 1 - 10 Billion, subsequent tranches will be step-up progressively.
- 2). Sender submit standard KYC with full contacts and passport details, banker's details, and a screen shot to prove account signatory / ownership and funds available. **Sender/Account Signatory contact details must be provided for verification, failing which the submission will not be accepted.** For L2L transaction, apart from the standard Server Screen Shot, Sender must request his Banker to provide a standard Bank Statement of the Off-Ledger funds in a designated account to signify they are ready to perform internal bank account ledger-to-ledger fund transfer.
- 3). Upon due diligence on Sender profile is done and verified, the UN Trustee Receiver will initiate a Principal-to-Principal conference call to sort out all the logistics details, and to clarify any doubts the Sender may have; thereafter follow by a Transaction Contract to the Sender with all Receiver Banking details revealed. Signed & Counter-signed, the agreement becomes a binding contract.
- 4). As the whole transaction is done within the same Sender bank, there is no risk at all. Sender through his relationship with his own bank can easily verified the Receiver identity and his Account used for its operation for the off-ledger funds receiving and clearance. This is a simple and risk-free Ledger-to-Ledger transfer to the Receiving Account within the same bank where the whole transaction is within Sender Bank's control. **No banker communication is needed**, all we need is upon transfer a notification to Receiver with a **bank stamped and endorsed Remittance Notice**. Unlike the old IPIP/DTC/GPI system that you have to give the download code to another bank and risk the entire sum, the localize internal Ledger-to-Ledger transfer within the same bank can start with any smaller tranches of 1-5B to check the protocol performance, followed by subsequent regular tranches - if Sender is satisfied with the results. In the unlikely event that something goes wrong, the funds still sit in the same Sender bank and within their control.
- 5). Upon the trust is established and contract signed, the Sender will instruct his bank to transfer the off ledger funds with ledger-to-ledger transfer into the Receiver Account within the same bank. As all transaction is carry out under the protection of the same

bank, therefore **no need for any Bank Payment Guarantee Letter** to be issued to Sender in advance.

- 6). Upon ledger transferred, Sender will notify Receiver with the certified and stamped Remittance Receipt, and Receiver will proceed to clear the funds with Statutory tax clearance and/or any penalty payment to the relevant clearing authorities.
- 7). Within 7-10 Banking days upon transfer and clearance, the Sender will received the cleared funds via MT103 to his designated account. Should there be a need, the UN Trustee is able to assist the Sender to open new Receiving Account in his preferred Bank and Country.
- 8). The tranches of funds transfer will continued and deared progressively, till the committed contract sum is fully exhausted.

B) IPIP AND GPI TRANSACTION PROCEDURE

- 1) For initial KYC submission, requirements similar to the L2L procedure. For POF, an updated Server Screen Shot with full details will suffice.
- 2) For Senders Bank that cannot perform L2L, GPI protocol will be preferred rather than IPIP, although both can be considered. GPI protocol operates with more secure system, clearing is easy. The transaction preferable to be done with Auto Transfer with Sender to provide all necessary code in advance for download and clearing. Should the Sender prefer to do manual download, then window time need to be coordinated between Sender and Receiver Bankers, which will cause slight delay due to the coordination.
- 3) Upon successful download into Receiver Account for clearance; Sender is required to forward **7 sets of bank statements, which include Yellow, Blue and Black screen, Bank Transaction Approval, Remittance Notice,etc; all need to be stamped and certified by banker in wet blue ink. Original copies may need to be courier over to the Receiving Bank** for respective Central Bank verification and clearance. The same procedure will repeat for every tranche till the agreed full sum is cleared.
- 4) The Clearing period depends on the Receiving Bank coordination with the respective Central Bank, it can take 10-14 days upon submission of all required document and verification.
- 5) Upon clearance, the cleared funds will be paid to the designated Account by the Sender via MT103.

C) PAYOUT SPLIT RATIO OF CLEARED FUNDS

- 1). Under the rules of Off Leger fund clearance set up by the authorities, the Sender will received **40% Net** of the transferred funds upon clearance. UN Receiver will be responsible for the taxes and/or penalty charges of about 25% to be paid to clear the funds, and bulk of the 35% remained funds will be channeled to UN for humanitarian projects within G20 countries.
- 2). For the 40% of cleared funds Sender received, the 80/20 rules applies. 80% of the received funds have to be used for projects; remaining 20% is free for Sender use without restriction.
- 3). Sender may choose to place part of his received funds for Trade Program administrated by the UN Trustee Platform. The Trade Program may runs for 5 years, thus giving the Sender more funds for project funding. 80/20 rules will also applies to the Trade Profit proceeds. If Sender wish to participate this Capital Fund Enhancement Program, he need to express his committed interest at the submission.
- 4). For Intermediaries, the Off Ledger Funds transaction will allocated 1.5% as commission, split on equal 50/50 share between the Sender and UN Receiver Group. The **0.75% fees payable to Sender Group** is with strict control and monitoring, each participating intermediary is not allow to receive more than 0.5% each! The fees will be paid by UN Platform from the cleared funds outside the 40% Net sums paid to the Sender.
- 5). If the Sender take part the UN Platform trade program offer, the commission allocate for trade program will be a total of **5% paid out of the Sender Trade Profits**; same rule of 50/50 split between Sender and UN Platform Group, with each participating Sender intermediary can received not more than 1% each of the 2.5% allocated. Same 80/20 rules will be applied to Sender/Investor for his trade profit received.
- 6). If there is a need, the UN Trustee can assist the intermediaries to set up commission receiving account in their preferred bank & countries.
- 7). Sender and all intermediaries are responsible for tax payable in their own tax regime.

For all qualified Sender, if your bank facilitates and permits, learn to move forward with a better, secured and improved L2L transaction protocol. I look forward to your qualified submission.

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